

Simple diagnostic for outcome bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

What's most important is that my investments make money—I'm not that concerned with following a structured plan.

Answering 3 to 5 shows a tendency toward outcome bias.

Advice for Accumulators

Aggressive clients are generally the most difficult clients to advise, particularly those who have experienced losses. Because they like to control or at least get deeply involved in the details of investment decision making, they tend to eschew advice that might keep their risk tolerance in check. And they are emotionally charged and optimistic that their investments will do well, even if that optimism is irrational. Some Accumulators need to be monitored for excess spending, which, when out of control, can inhibit performance of a long-term portfolio. The best approach to dealing with these clients is to take control of the situation. If the advisor lets the Accumulator client dictate the terms of the advisory engagement, they will always be at the mercy of the client's emotionally driven decision making and the result will likely be an unhappy client and an unhappy advisor. Advisors to Accumulators need to demonstrate the impact financial decisions have on family members, lifestyle, or the family legacy. If these advisors can prove to the client that they have the ability help the client to make sound long-term decisions, they will likely see their Accumulator clients fall into step and be better clients that are easier to advise.

SUMMARY

We have just reviewed the basics of the four behavioral investor types. I hope this gives you an overview of what the key aspects of each BIT is and how best to adjust behavior to account for these biases. For a more detailed review of BITs, I plan to publish another book in the near future that reviews in much more detail each BIT and how to work with each one. For a more complete discussion of behavioral investor types, please see *Behavioral Finance and Investor Types: Managing Behavior for Better Investment Decision Making*, to be published later in 2012 by John Wiley.